

Speaking Script — Impact of Crude Oil on Foreign Exchange Markets

Financial Institutions, Markets & Services | Unit 3 | Chitkara Business School

Slide 1 — Title Slide

Good morning everyone. Today, I'll be presenting on a topic that connects two of the biggest forces in the global economy — **crude oil** and **foreign exchange markets**. These two might seem like separate things, but they are deeply interlinked. In fact, the forex market moves about **7.5 trillion dollars every single day**, and a huge chunk of that movement is directly influenced by oil. India alone imports over **85% of its crude oil**, which means what happens in oil markets has a very real impact on our currency and our economy. So let's get into it.

Slide 2 — Course Agenda & Learning Objectives

Here's a quick roadmap of what we'll cover today. I'll start by explaining what **crude oil markets** actually are — the types, structure, and how prices are set. Then I'll move into **foreign exchange markets** — how they work and what instruments are used. After that, we'll look at the most important part — the direct connection between **oil prices and exchange rates**, including how it affects India's rupee. And finally, we'll wrap up with some key takeaways. Think of it as four building blocks — each one supports the next.

Slide 3 — Section 01: Crude Oil Markets (*Section Divider*)

So let's begin with Section One — **Crude Oil Markets**. Before we can understand how oil affects currencies, we need to know what oil is, how it's traded, and what drives its price.

Slide 4 — What is Crude Oil?

Crude oil is a **naturally occurring liquid** found underground, made up of hydrocarbons. It's the raw material that gets refined into petrol, diesel, jet fuel, and countless other products. What makes it so important is scale — the global crude oil market is worth around **3 trillion dollars per year**, and the world produces close to **100 million barrels every single day**. One barrel, by the way, is about **159 litres** — that's a useful fact to remember. Another key point is that crude oil is always priced in **US dollars**. This is what we call the **Petrodollar system**, and it's a central idea in this presentation. The top producers are the USA, Saudi Arabia, and Russia.

Slide 5 — Major Crude Oil Benchmarks

Now, not all crude oil is the same — different oils have different quality and come from different regions. That's why we have **benchmarks**, which are standard reference prices. The most important one globally is **Brent Crude**, which comes from the North Sea and is used to price about **67% of the world's oil**. Then there's **WTI, or West Texas Intermediate**, the US benchmark — it's slightly cheaper than Brent, usually by about **2 to 4 dollars per barrel**. For India specifically, the relevant benchmark is **Dubai/Oman Crude**, since most of India's imports come from the Middle East. And finally, **OPEC Basket** is the average price across all OPEC member countries, which influences their production decisions.

Slide 6 — Oil Market Structure & Key Pricing Factors

Who actually sets the price of oil? It's a mix of many players. **OPEC+** is the most powerful — it's a cartel that controls about **40% of global supply**, so when they decide to cut or increase production, the entire world feels it. Then you have national oil companies like **Saudi Aramco** and **ONGC**, international companies like **Shell and BP**, and commodity exchanges like **NYMEX** where oil futures are traded. On the pricing side, the biggest factors are **supply and demand**, **geopolitical tensions** — like sanctions on Russia or Iran — the **strength of the US dollar**, and even weekly **US inventory reports** that come out every Wednesday and move markets instantly.

Slide 7 — Section 02: Foreign Exchange Markets (*Section Divider*)

Now that we understand oil, let's move to **Section Two — Foreign Exchange Markets**. This is the arena where one currency gets exchanged for another, and it's the largest financial market in the world.

Slide 8 — Introduction to Foreign Exchange Markets

The forex market is unlike any other financial market. It trades a staggering **7.5 trillion dollars per day** — far more than any stock exchange in the world. It operates **24 hours a day, five days a week**, and it's completely decentralized — there's no single building or exchange. Trades happen electronically between banks, institutions, and brokers. The cycle flows through **Sydney, then Tokyo, then London, then New York**, creating a continuous loop around the globe. In India, this market is regulated by the **RBI under FEMA, 1999**, and commercial banks act as the key intermediaries.

Slide 9 — Foreign Exchange Instruments

There are five main tools, or instruments, used in the forex market. A **Spot Transaction** is the

simplest — you exchange currencies at today's rate and settle in 2 days. A **Forward Contract** lets you lock in an exchange rate today for a future date — very useful for companies that know they'll need foreign currency later. **Currency Futures** are similar but standardized and traded on exchanges like the NSE. **Currency Options** give you the right, but not the obligation, to exchange at a set rate — they offer protection with flexibility. And finally, **Currency Swaps** are used by big companies and banks to manage long-term currency exposure by swapping currencies back and forth over different time periods.

Slide 10 — Section 03: Crude Oil-Forex Nexus (*Section Divider*)

Now comes the most interesting part — **Section Three**, where we connect everything. This is where oil and forex actually meet — through the Petrodollar system, its impact on India's rupee, and the strategies companies use to manage that risk.

Slide 11 — The Petrodollar System

Here's the core idea: since **1973**, all crude oil in the world is priced and paid for in **US dollars**. This creates a permanent structural link between oil and the dollar. Here's how it works in a simple loop — a country that needs oil has to first **buy US dollars** in the forex market, then use those dollars to pay the oil exporter. The exporter then typically **invests those dollars** back into US treasuries or other dollar assets. For India, this means we must constantly earn or purchase dollars to pay our oil bill. When oil prices rise, we need **more dollars**, which increases demand for USD and weakens the **Indian Rupee**. India is also exploring **INR-Ruble trade with Russia** as a way to reduce this dependency.

Slide 12 — How Oil Prices Move Exchange Rates

This slide shows the direct cause-and-effect relationship. When **oil prices rise**, countries like India that import oil must spend more dollars — this puts pressure on their currencies. The **INR weakens** against the dollar, imported goods become more expensive, and we see **imported inflation**. The **Current Account Deficit**, or CAD, widens. The RBI may then have to hike interest rates or sell dollars from reserves to defend the rupee. On the flip side, for oil-exporting nations like **Saudi Arabia or Russia**, high oil prices bring in more dollar revenues — but falling prices hurt them badly, weakening their currencies like the **Ruble or Riyal** and causing budget deficits.

Slide 13 — India's Crude Oil Landscape & INR Vulnerability

Let's put some numbers to India's situation. India imports **more than 85%** of its crude oil, making it the **world's third largest consumer**. Our annual crude oil bill is over **140 billion US dollars**. As of 2024, **Russia has become our top supplier**, largely due to discounted prices after

sanctions. Key institutions managing this include **ONGC** for domestic production, **Indian Oil Corporation** for refining, **BPCL** for retail, and **PPAC** for monitoring prices and imports. Here's a key insight worth remembering — every time crude prices rise by just **10 dollars per barrel**, India's Current Account Deficit widens by approximately **15 billion dollars**. That's how vulnerable the rupee is to oil price movements.

Slide 14 — Brent Crude Price vs INR/USD — Historical Correlation

This slide shows real data, and the pattern is very clear. Look at **2020** — when oil prices crashed to around **42 dollars** during COVID, the rupee still weakened slightly due to other economic pressures. Then in **2022**, when Brent shot up to **101 dollars** due to the Russia-Ukraine war, the INR/USD rate also jumped to **78.6** — meaning the rupee fell sharply. By **2024**, with crude around 80 dollars, the rupee was at **83.5** per dollar. The trend confirms what the theory says — **rising oil prices and a weakening rupee go hand in hand**. This is not a coincidence; it's a structural relationship driven by the petrodollar system.

Slide 15 — Exchange Rate Mechanisms & INR Determinants

Not all countries manage their currencies the same way. A **Fixed Rate** system means a country pegs its currency to another — like **Saudi Arabia pegging its Riyal to the US dollar at 3.75**. A **Floating Rate** system means the market decides — like the US dollar or Euro. India uses a **Managed Float** — the rupee floats based on market forces, but the **RBI steps in** when there's excessive volatility to prevent sharp swings. Beyond oil, the rupee is also influenced by **FII and FDI inflows** which strengthen it, **US Federal Reserve interest rate hikes** which weaken it by pulling capital out of India, and **India's own export performance** which brings in more dollars and supports the rupee.

Slide 16 — Hedging Against Crude Oil-Forex Risk

So how do companies protect themselves from all this risk? There are four main **hedging strategies**. First, **Currency Forward Contracts** — oil PSUs and airlines can lock in a fixed exchange rate today for future dollar payments, eliminating uncertainty. Second, **Currency Options** — a company can buy a USD call option, which lets them buy dollars at a set rate if the rupee falls, but they can ignore it if the rupee strengthens. Third, **Crude Oil Futures on MCX or NYMEX** — refineries and airlines can lock in their fuel procurement price to protect against sudden oil price spikes. And fourth, **Natural Hedging** — MNCs that both earn and spend in USD can offset their exposure without any financial instrument at all.

Slide 17 — Summary & Key Takeaways

Let me quickly bring everything together. The **Petrodollar system** — established in 1973 — is the root cause of the oil-forex connection, creating permanent structural demand for US dollars. India is **highly vulnerable** because of its massive import dependence — every 10-dollar rise in oil costs us 15 billion dollars in CAD widening. The **forex market** itself, at 7.5 trillion dollars a day, uses instruments like spot deals, forwards, futures, options, and swaps to facilitate and manage this exposure. And on the **hedging front**, companies and PSUs have tools available — they just need to use them wisely. The bigger policy picture is that India's **managed float regime**, its forex reserves, and experiments like the **INR-Ruble trade** are all strategic responses to reduce dependence on the petrodollar.

Slide 18 — Thank You & Q&A

That brings us to the end of the presentation. To summarize in one line — **oil and currency markets are two sides of the same coin**, and for a country like India, understanding this relationship is not just academic — it has real consequences for inflation, the rupee, and the broader economy. I'm happy to take any questions. Thank you.

Script prepared for classroom presentation / Financial Institutions, Markets & Services / Chitkara Business School / Jan-Jun 2026